Africa EPU Index

Methodology and data · CAPE Economic Research and Consulting · Vintage 2026-09

1. Purpose and scope

The CAPE Africa Economic Policy Uncertainty (EPU) Index measures, every month, how much of each African country's national press discusses the economy, policy and uncertainty together. It covers all **54 African countries**, five regions and an Africa-wide aggregate, from **January 2015 to September 2026** (141 months; latest vintage 2026-09).

The index follows the newspaper-based method of Baker, Bloom and Davis (2016), adapted for Africa in four ways:

- **Language.** Each country has its own keyword dictionary, written in up to three of 15 languages.
- **Coverage.** National online newspapers are collected for every country, including fragile and low-coverage states.
- **Frozen baseline.** Each country's scaling parameters are fixed over January 2015 to December 2025. Later months are scored against that fixed reference and are never recalibrated, so history is not revised.
- **Aggregation.** Regional and Africa series are GDP-PPP-weighted averages of country z-scores.

Item	Value
Countries	54
Regions	Central (7), East (13), North (6), Southern (13), West (15)
Frequency	Monthly
Sample	January 2015 to September 2026 (141 months)
Baseline (frozen)	January 2015 to December 2025 (132 months)
Newspapers in registry	851 (624 main registry + 227 extra registry)
Newspapers used in the index	262 selected sources (up to 6 per country)
Articles, selected sources	21.5 million (archive summary, March–April 2026)
Articles, full archive	31.4 million from 1,077 newspapers
Country index scale	Baseline mean = 100
Regional and Africa scale	Baseline mean = 100, standard deviation = 10
Sister indices	ETU, TPU and EgPU (same archive, different keyword rules)

Table 1. Summary of the index.

2. Conceptual foundation

Policy uncertainty is the public's doubt about who will make economic policy, what they will do and when. It raises the value of waiting, so firms delay investment and hiring and households delay large

purchases (Bloom, 2009). Because it cannot be observed directly, it is measured through what the press writes.

Baker, Bloom and Davis (2016) count newspaper articles that refer to the economy, policy and uncertainty together. They scale the count by each newspaper's total volume, standardise each newspaper and average across newspapers. Their index tracks investment, employment, asset prices and output, and has since been built for more than 20 economies.

Why a dedicated African index. Existing EPU measures cover only a handful of African countries and rely mainly on advanced-economy media. The World Uncertainty Index (Ahir, Bloom and Furceri, 2022) covers Africa but is built from quarterly EIU country reports rather than local news. African uncertainty is driven by election cycles, abrupt regulatory changes, exchange-rate regimes, debt distress and commodity shocks. These events are reported first, and in most detail, by the national press, often in French, Arabic or Portuguese. Country-level evidence (Laniran, 2018; Laniran and Omeje, 2021; Salisu et al., 2023 for Nigeria) shows that news-based uncertainty helps forecast exchange-rate and stock-market volatility.

What the CAPE index adds:

1. Monthly coverage of all 54 countries on one consistent method.
2. Local-language dictionaries, so francophone, lusophone and Arabic-language newspapers are read in their own language.
3. A frozen baseline, so new months are comparable with history without revising the past.
4. GDP-weighted regional and Africa aggregates suitable for macroeconomic analysis.

The EPU index is distinct from CAPE's Africa Economic Risk Index (AERI). AERI scores graded economic-risk content across eight pillars and does not require all three EPU components in the same article. The two indices can move together, but their levels are not comparable.

3. Data collected

The index is built from national online newspapers in every African country. Two curated registries list **851 candidate sources**; of these, up to six per country are selected by article volume, giving **262 sources** that enter the computation. Each article is stored with its source, date, title, URL and full text, one file per newspaper per month.

3.1 Registered newspapers by country

Region	Country	Registered sources
West	Nigeria	66
	Ghana	58
	Senegal	26
	Burkina-Faso	24
	Ivory Coast	19
	Sierra Leone	19
	Mali	18

Region	Country	Registered sources
	Benin	18
	Gambia	15
	Niger	14
	Guinea	14
	Cape Verde	10
	Liberia	8
	Togo	6
	Guinea-Bissau	2
	West subtotal	**317**
North	Morocco	37
	Algeria	22
	Libya	15
	Tunisia	14
	Egypt	12
	Mauritania	6
	North subtotal	**106**
East	Kenya	44
	Uganda	42
	Ethiopia	27
	Sudan	20
	Eritrea	8
	South Sudan	7
	Somalia	7
	Tanzania	6
	Burundi	5
	Comoros	4
	Rwanda	4
	Djibouti	2
	Seychelles	2
	East subtotal	**178**
Southern	South Africa	46
	Zimbabwe	23
	Botswana	16
	Madagascar	15

Region	Country	Registered sources
	Mauritius	15
	Namibia	12
	Mozambique	12
	Lesotho	10
	Angola	9
	Eswatini	8
	Malawi	7
	Zambia	4
	Sao Tome and Principe	3
	Southern subtotal	**180**
Central	Cameroon	22
	Congo DRC	15
	Gabon	14
	Congo	8
	Central African Republic	6
	Chad	3
	Equatorial Guinea	2
	Central subtotal	**70**
Africa	**54 countries**	**851**

Table 2. Newspapers in the main and extra registries, by region and country (registries reconciled 2 September 2026).

3.2 Selected sources and article volumes

Region	Countries	Selected sources	Articles (selected sources)
West	15	82	12,327,500
North	6	31	3,918,380
Southern	13	67	2,487,924
East	13	57	2,076,395
Central	7	27	726,116
Africa	**54**	**264**	**21,536,315**

Table 3. Selected sources and article counts by region (archive summary, March–April 2026). This summary counts 264 sources against 262 in the selection file; the two-source difference is to be reconciled.

4. Keyword dictionaries and article classification

An article is classified as an EPU article if its title or body contains at least one Economic term, at least one Policy term and at least one Uncertainty term from its country's dictionary. Each article scores 0 or 1; there is no weighting by how many terms appear.

$$\mathrm{EPU}_a = \mathbf{1}\{E_a \geq 1\} \cdot \mathbf{1}\{P_a \geq 1\} \cdot \mathbf{1}\{U_a \geq 1\}$$

where *E*, *P* and *U* count the distinct dictionary terms of each component found in the article's combined title and body, and 1{·} equals 1 when the condition holds and 0 otherwise.

4.1 Dictionary

The production dictionary is `eptu_country_keywords.json` (schema EPTU-2.0, generated 3 October 2026). It was derived from the earlier EPU dictionary and the trade dictionary, and serves the EPU, ETU and TPU indices. Each of the 54 countries has its own entry with a language list and term lists for Economic, Policy, Trade and Uncertainty terms. A term may belong to only one component, so a single phrase can never satisfy two of the three conditions.

Component	Min per country	Median	Mean	Max	Total terms	Unique terms
Economic	7	12.5	24.1	148	1,300	437
Policy	11	18	40.5	161	2,185	456
Uncertainty	6	23	34.0	109	1,837	300

Table 4. Dictionary size by component across the 54 country dictionaries.

Dictionaries are larger where several languages are covered. Morocco has 74 Economic, 161 Policy and 109 Uncertainty terms and Tunisia 62, 151 and 105, while English-only countries such as Nigeria, Ghana and Zambia have about 8, 12–13 and 15–19.

Component	Typical English terms
Economic	economy, GDP, inflation, investment, fiscal deficit, exchange rate, economic growth
Policy	fiscal policy, monetary policy, regulation, legislation, ministry of finance, government decree, tax reform, public spending
Uncertainty	uncertainty, uncertain, unstable, unpredictable, risk, volatile, volatility, crisis, instability

Table 5. Examples of English dictionary terms.

French equivalents include *PIB*, *économie*, *investissement* and *taux de change*. Country lists also add local currency names (for example *naira* for Nigeria) and national institutions.

4.2 Languages

Fifteen language vocabularies are used across the 54 countries. Every country has English; others add the languages of their national press.

Code	Language	Countries
en	English	54

Code	Language	Countries
fr	French	27
ar	Arabic	13
pt	Portuguese	6
sw	Swahili	4
af	Afrikaans	2
am, crs, es, mg, rn, rw, so, ti, zu	Amharic, Seychellois Creole, Spanish, Malagasy, Kirundi, Kinyarwanda, Somali, Tigrinya, Zulu	1 each

Table 6. Language vocabularies and the number of countries using each.

These are the vocabularies available to the keyword matcher, not a measured distribution of article languages: the article files carry no language field.

5. Country index output

Country results are published in two files. `epu_index_long.csv` has one row per country and month, with the columns listed below; `epu_index_wide.csv` holds the same index with one column per country. The current file has 7,611 rows: 54 countries × 141 months, less three months with no readable articles (São Tomé and Príncipe, July 2026; Seychelles, October 2018 and March 2019).

Column	Content
`country`	Country name
`year_month`	Month (YYYY-MM)
`EPU`	Country EPU index (baseline mean = 100)
`M_t`	Average across newspapers of each newspaper's EPU article share divided by its baseline standard deviation
`mu`	Baseline (2015–2025) mean of `M_t`, fixed for each country
`n_sites`	Number of newspapers contributing that month

Table 7. Columns of the country index file.

6. Regional and Africa aggregation

Regional and Africa indices are GDP-PPP-weighted averages of country z-scores, rescaled to a baseline mean of 100 and a standard deviation of 10. Z-scores are used rather than raw country indices so that small, volatile series (for example Gabon or Mauritania) do not dominate through scale alone, while GDP weights give larger economies the weight they carry in their regional economy.

6.1 Regions

Region	Countries
Central (7)	Cameroon, Central African Republic, Chad, Congo, Congo DRC, Equatorial Guinea, Gabon

Region	Countries
East (13)	Burundi, Comoros, Djibouti, Eritrea, Ethiopia, Kenya, Rwanda, Seychelles, Somalia, South Sudan, Sudan, Tanzania, Uganda
North (6)	Algeria, Egypt, Libya, Mauritania, Morocco, Tunisia
Southern (13)	Angola, Botswana, Eswatini, Lesotho, Madagascar, Malawi, Mauritius, Mozambique, Namibia, Sao Tome and Principe, South Africa, Zambia, Zimbabwe
West (15)	Benin, Burkina-Faso, Cape Verde, Gambia, Ghana, Guinea, Guinea-Bissau, Ivory Coast, Liberia, Mali, Niger, Nigeria, Senegal, Sierra Leone, Togo

Table 8. Regional groupings used in the index.

The grouping is CAPE's own: it places Madagascar, Mauritius, Malawi, Angola and São Tomé and Príncipe in Southern Africa, and Comoros, Seychelles and Sudan in East Africa.

6.2 Monthly GDP weights

Annual GDP at purchasing-power parity (USD millions) is converted to monthly values. Each annual value is placed at 1 January of its year and the series is interpolated linearly in logarithms, which assumes constant growth within each year:

$$\ln \mathrm{GDP}_{c,\,m} = \ln \mathrm{GDP}_{c,\,y} + \frac{m}{12}(\ln \mathrm{GDP}_{c,\,y+1} - \ln \mathrm{GDP}_{c,\,y})$$

where m = 0, …, 11 is the month within year y. After the last annual figure the value is carried forward. From January 2026 the weights are held at each country's December 2025 GDP unless an updated GDP vintage is confirmed.

6.3 Computation steps

Step 1 – Country z-score. Standardise each country's index using its own baseline mean and population standard deviation:

$$z_{ct} = \frac{\mathrm{EPU}_{ct} - m_c}{s_c}$$

where m_c and s_c are the mean and standard deviation of country c's index over January 2015 to December 2025.

Step 2 – GDP weights. Within region r, each country's weight is its share of the region's GDP in that month:

$$w_{ct} = \frac{\mathrm{GDP}_{ct}}{\sum_{k \in r} \mathrm{GDP}_{kt}}$$

Step 3 – Weighted average.

$$Z_{rt} = \sum_{c \in r} w_{ct}\, z_{ct}$$

Step 4 – Rescale. Standardise the regional series over its own baseline and map it to mean 100 and standard deviation 10:

$$\mathrm{EPU}_{rt} = 100 + 10 \times \frac{Z_{rt} - m_r}{s_r}$$

where m_r and s_r are the baseline mean and standard deviation of the regional series. The Africa index applies the same four steps to all 54 countries directly, with weights over Africa's total GDP; it is not an average of the five regional indices.

6.4 Output

Five regional files (`{region}_epu_aggregate_long.csv`) and one Africa file (`africa_epu_aggregate_long.csv`) are produced each month, each with a chart. They contain the month and date, the weighted z-score (`region_z` or `africa_z`), the index, the number of countries covered (`n_countries`), the GDP covered in USD millions (`gdp_covered_musd`), and the GDP mode and source month used for the weights (`gdp_mode`, `gdp_source_month`).

References

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